Covid-19 panic. From February 19 to March 23, 2020 the S&P 500 crashed 34%. From that February peak to March 11, it was down 19%; the next day, it was down 27%. What should you have done? March 13, the SPX was down 19.94%—now what?

In all of those instances, knowing a bear market had begun based on faux percentage definition was utterly useless. In every instance, markets were appreciably higher a year later (in 2020, a few weeks later) and much higher three to five years later. Sellers who dumped equities into the so-called bear market were punished.

And what about other terms we have for downs and ups in the market; are these helpful and how do we measure them? Here is a list of other names we put to these events. Best of luck putting percentages on these terms.

## Corrections, retracements, crashes, and dips

| **Terminologies used to describe negative market action:** | |
|---|---|
| Sell-off | Bear |
| Crash | Collapse |
| Pullback | Dip |
| Retracement | Bubble |
| Reversal | Profit-taking |
| Wealth destruction | Crisis |
| Volatility | Panic |

| **Terminologies used to describe positive market action:** | |
|---|---|
| Recovery | Counter-trend |
| BTFD | Bull market |
| Rally | Bargain-hunting |
| Snap back | Calm |
| Priced in | Surge |
| Bull | Gains |
| Bounce | Trend |
| Wealth creation | Greed |

These descriptive phrases are colorful, but they lack any precise meaning.